

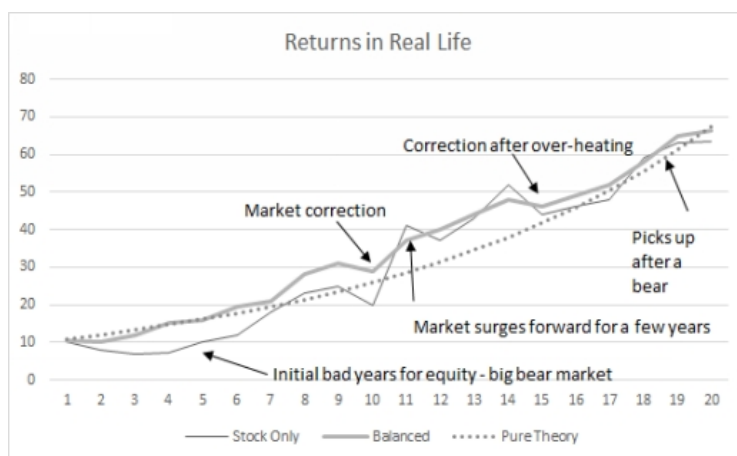
Consider this example of loss aversion from Amos Tversky & Daniel Kahneman:

You are given Rs. 50 at the beginning. Then you must choose one of the 2 options

- 1) Keep Rs. 30 for yourself
- 2) Bet on a coin flip. If you're right, you can keep the 50. If you lose, you lose the Rs. 50

In a disproportionate ratio, people chose option 1 and decided that any loss (even with free-bonuses) was unbearable. If you had asked me the question, I'd avoid losses as well and would have chosen option 1. Bringing in fixed income is the process of ensuring that even imaginary losses won't occur to our portfolio. But, once we diversify, our returns meter will go down because the risk goes down.

Having a purely equity-only portfolio is not a bad idea: it may give better returns than a diversified portfolio. But, volatility reduction is important to keep mental sanity (avoid loss aversion). Given that most of us are inherently lazy with money decisions, balancing returns with risk is important so that we can automate and not worry about it. See the graph below to understand the significance of balancing.



*A simulated returns graph (depicts real world scenarios but is hypothetical) is shown above. From the graph, you will see that when having a '60% equity and 40% Fixed income' theme in a balanced portfolio, the ride is going to be smoother - when correction happens, the fall is not so steep, when market recovers, the rise is steadfast and at any time the returns hover*